



TO WHOMSOEVER IT MAY CONCERN

This is to certify that:

- (i) Based on the information and explanation given to us, Granules India Limited (the "Company") having its registered office at Second Floor, Block III, My Home Hub, Madhapur, Cyberabad, Hyderabad - 500 081, Telangana has sufficient means to fulfil all the obligations under SEBI (Buy-back of Securities) Regulations, 2018, as amended from time to time, in respect of Buyback of upto 62,50,000 equity shares at a price of ₹ 400/- per Equity Share ("**Buyback Price**") for an aggregate maximum amount of Rs. 250 crores ("**Buyback**")
- (ii) The brief financial information of the Company as extracted from the unaudited standalone financial statements for the three months ended June 30, 2022 and audited standalone financial statements for the financial years ended March 31, 2022, March 31, 2021 and March 31, 2020 are provided below:

(₹ in lakhs, unless otherwise stated)

Particulars	Three months ended period June 30, 2022 (Unaudited)	Year Ended		
		March 31, 2022 (Audited)	March 31, 2021 (Audited)	March 31, 2020 (Audited)
Revenue from operations	92,135.70	323,843.66	313,498.24	230,992.83
Other income	454.84	1,751.00	1,372.32	2,645.67
Total Income	92,590.54	325,594.66	314,870.56	233,638.50
Total Expenses (excluding finance cost, depreciation & amortization)	72,469.66	259,378.77	227,361.01	181,579.11
Finance Costs	443.89	1,635.23	2,377.39	2,686.22
Depreciation	3,459.94	12,616.09	11,845.14	10,182.44
Profit before exceptional item and tax	16,217.05	51,964.57	73,287.02	39,190.73
Exceptional item	-	-	-	16,111.87
Profit before tax	16,217.05	51,964.57	73,287.02	55,302.60
Tax expense (including Deferred Tax)	3,740.28	13,313.09	18,008.71	10,895.70
Profit after tax	12,476.77	38,651.48	55,278.31	44,406.90
Equity Share Capital	2,480.06	2,480.06	2,476.75	2,542.48
Other Equity	263,326.62	250,586.05	213,785.42	178,616.10
Net worth*	265,806.68	253,066.11	216,262.17	181,158.58
Total debt#	93,486.47	104,721.70	83,845.14	88,366.09

Notes: *Networth comprises of Equity Share Capital + Other equity.

#Total Debt = Long term Term Borrowings + Short term Borrowings + Current Maturities of Long Term Borrowings

The Key financial ratios based on standalone financial statements are as follows:

Particulars	Three months ended June 30, 2022 (Unaudited)	March 31, 2022 (Audited)	Year Ended March 31, 2021 (Audited)	March 31, 2020 (Audited)
Key Ratios				
Earnings per Share:				
– Basic (₹) ⁽¹⁾	5.03	15.60	22.18	17.47
– Diluted (₹) ⁽²⁾	5.02	15.55	22.09	17.41
Book Value per Share (₹) ^{(3) (4)}	107.18	102.04	87.32	71.25
Return on Net Worth (%) ^{(3) (5)}	19.24%	16.47%	27.82%	27.46%
Total Debt / Equity ratio ⁽⁶⁾	0.35	0.41	0.39	0.49

Below are the formulae used for computation of the above ratios:

- (1) Basic Earnings per Share = Profit After Tax/ Weighted average number of shares outstanding for the period
- (2) Diluted Earnings per Share = Profit After Tax/ Weighted average number of diluted shares outstanding for the period .
- (3) Net Worth consists of Equity Share Capital + Other equity .
- (4) Book value per Share = (Equity share Capital +Other equity)/No of Equity Shares at the end of the period.
- (5) Return on Net Worth = Profit After Tax(annualised) /Average Networth
- (6) Total Debt-Equity Ratio = (Long Term Borrowings + Short term Borrowings + Current Maturities of Long Term Borrowings)/Net Worth

- (iii) The brief financial information of the Company as extracted from the unaudited consolidated financial statements for the three months ended June 30, 2022 and from the audited consolidated financial statements for the financial years ended March 31, 2022, March 31, 2021 and March 31, 2020 are provided below:

(₹ in lakhs, unless otherwise stated)

Particulars	Three months ended June 30, 2022 (Unaudited)	March 31, 2022 (Audited)	Year Ended March 31, 2021 (Audited)	March 31, 2020 (Audited)
Revenue from operations	101,955.56	376,492.10	323,754.28	259,864.65
Other income	466.69	1,760.80	2,688.18	3,655.52
Total Income	102,422.25	378,252.90	326,442.46	263,520.17
Total Expenses (excluding finance cost, depreciation & amortization)	80,805.24	304,268.80	238,231.37	207,332.82
Finance Costs	693.69	2,321.07	2,628.41	2,702.38
Depreciation	4,336.28	15,863.20	15,146.25	13,695.35
Profit before exceptional item, tax, share of profit of joint venture and associate	16,587.04	55,799.83	70,436.43	39,789.62
Exceptional item	-	-	-	2,773.90
Profit before tax, share of profit of joint venture and associate	16,587.04	55,799.83	70,436.43	42,563.52
Share of profit in joint venture and associate, net of tax	-	-	-	2,549.09
Profit before tax	16,587.04	55,799.83	70,436.43	45,112.61
Tax expense (including Deferred Tax)	3,830.19	14,524.02	15,490.53	11,572.78
Profit after tax	12,756.85	41,275.81	54,945.90	33,539.83
Equity Share Capital	2,480.06	2,480.06	2,476.75	2,542.48

Particulars	Three months ended June 30, 2022 (Unaudited)	Year Ended		
		March 31, 2022 (Audited)	March 31, 2021 (Audited)	March 31, 2020 (Audited)
Other Equity excluding Non-controlling interest	271,720.89	256,173.23	214,850.68	181,829.93
Net worth*	274,200.95	258,653.29	217,327.43	184,372.41
Total debt#	100,599.14	109,275.73	83,845.14	88,366.09

Notes: Networth comprises of Equity Share Capital + Other equity .

#Total Debt = Long term Term Borrowings + Short term Borrowings +Current Maturities of Long Term Borrowings

The Key financial ratios based on consolidated financial statements are as follows:

Particulars	Three months ended June 30, 2022 (Unaudited)	Year Ended		
		March 31, 2022 (Audited)	March 31, 2021 (Audited)	March 31, 2020 (Audited)
Key Ratios				
Earnings per Share:				
– Basic (₹) ⁽¹⁾	5.14	16.66	22.05	13.19
– Diluted (₹) ⁽²⁾	5.13	16.60	21.95	13.15
Book Value per Share (₹) ^{(3) (4)}	110.56	104.29	87.75	72.52
Return on Net Worth ^{(3) (5)}	19.15%	17.34%	27.36%	19.89%
Total Debt / Equity ratio ⁽⁶⁾	0.37	0.42	0.39	0.48

Below are the formulae used for computation of the above ratios:

- (1) Basic Earnings per Share = Profit After Tax/ Weighted average number of shares outstanding for the period
- (2) Diluted Earnings per Share = Profit After Tax/ Weighted average number of diluted shares outstanding for the period .
- (3) Net Worth consists of Equity Share Capital + Other equity .
- (4) Book value per Share = (Equity share Capital +Other equity)/No of Equity Shares at the end of the period.
- (5) Return on Net Worth = Profit After Tax(annualised) /Average Network
- (6) Total Debt-Equity Ratio = (Long Term Borrowings + Short term Borrowings + Current Maturities of Long Term Borrowings)/Net Worth

(iv) Following are the salient financial parameters consequent to the Buyback based on audited standalone and consolidated financial statements for the financial year ended March 31, 2022 are as under:

Particulars	Standalone		Consolidated	
	Pre-Buyback (as on March 31, 2022)	Post-Buyback#	Pre-Buyback (as on March 31, 2022)	Post-Buyback#
Networth (₹ in lakhs) ⁽¹⁾	253,066.11	228,066.11	258,653.29	233,653.29
Return on Net worth ((%) ⁽²⁾	16.47%	17.40%	17.34%	18.30%
Earnings per Equity Share				
-Basic (₹) ⁽³⁾	15.60	16.00	16.66	17.09
-Diluted (₹) ⁽⁴⁾	15.55	15.95	16.60	17.03
Book value per Equity Share (₹)	102.04	94.34	104.29	96.65
P/E ⁽⁶⁾	19.65	19.16	18.40	17.94
Total Debt / Equity ratio ⁽⁷⁾	0.41	0.46	0.42	0.47

The post-Buyback numbers are calculated by reducing the net worth by the proposed Buyback amount (assuming full acceptance), without factoring in tax on buy back of shares and any impact in the statement of profit & loss and other transaction costs. Assuming full acceptance of Equity Shares in the Buyback offer in the ratio of buyback.

Note:

Below are the formulae used for computation of the above ratios:

- (1) *Net Worth consists of Equity Share Capital + Other equity .*
- (2) *Return on Net Worth = Profit After Tax/Average Networkth*
- (3) *Basic Earnings per Share = Profit After Tax/ Weighted average number of shares outstanding for the period*
- (4) *Diluted Earnings per Share = Profit After Tax/ Weighted average number of diluted shares outstanding for the period*
- (5) *Book value per Share = (Equity share Capital +Other equity)/No of Equity Shares at the end of the period.*
- (6) *P/E= Market price/Earnings per share. (Market price per Equity Share is taken as the closing price of equity share on NSE as at March 31, 2022).*
- (7) *Total Debt-Equity Ratio = (Long Term Borrowings + Short term Borrowings + Current Maturities of Long Term Borrowings)/Net Worth*

Earnings per Share and Book Value per Share post buy back has been computed after reducing proposed equity shares to be bought back from weighted average outstanding shares for the financial year ended on March 31, 2022.

1. The present capital structure of the Company as on date of the issue of this Certificate is as follows

		(Rupees in lakhs)
Sr. No.	Particulars	Pre-Buyback
1	Authorised Share Capital:	
	505,000,000 Equity Shares of ₹ 1 each	5,050.00
	Total	5,050.00
2	Issued, Subscribed and Paid-Up Capital:	
	248,292,756 Equity Shares of ₹ 1 each	2,482.93
	Total Paid-up Capital	2,482.93

2. Assuming full acceptance in the Buyback of 62,50,000 Equity Shares, the capital structure of the Company post Buyback would be as follows:

		(Rupees in lakhs)
Sr. No.	Particulars	Post- Buyback
1	Authorised Share Capital:	
	505,000,000 Equity Shares of ₹ 1 each	5,050.00
	Total	5,050.00
2	Issued, Subscribed and Paid-Up Capital:	
	242,042,756 Equity Shares of ₹ 1 each	2,420.43
	Total Paid-up Capital	2,420.43

Yours sincerely,

For DHANUNJAYA & HARANATH

Chartered Accountants

Firm's Registration No.: 0142885

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ALLA

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DHANUNJAYA
KUMAR ALLA
Date: 2022.08.16
16:44:47 +05'30'



DHANUNJAYA KUMAR ALLA

Partner

Membership No. 206446

UDIN: 22206446APBXM5704

Place: Hyderabad

Date: 16th August, 2022